

SETTLEMENT AGREEMENT AND MUTUAL RELEASE

THIS SETTLEMENT AGREEMENT AND MUTUAL RELEASE ("Settlement Agreement") is entered into this 13th day of October, 2016 ("Effective Date") by and between BAYONNE ADULT MEDICAL DAY CARE ("BAYONNE AMDC"), its owners, directors, officers, successors and assigns, represented by William Isele, Esq., of Archer & Greiner P.C.; and STATE OF NEW JERSEY, OFFICE OF THE STATE COMPTROLLER, MEDICAID FRAUD DIVISION ("MFD"). BAYONNE AMDC and MFD are hereinafter collectively referred to as the "Parties" and each individually as a "Party."

WHEREAS, MFD investigated BAYONNE AMDC and has determined that between October 1, 2007 through October 1, 2012, BAYONNE AMDC submitted and was paid for Medicaid claims not supported by clinical documentation, as required by regulation, in violation of N.J.S.A. 30:4D-12, N.J.A.C. 10:49-9.8(b) 1 & 3, N.J.A.C. 8:86-1.4(a), and N.J.A.C. 8:43F-15.1(a) ("the Covered Conduct"), resulting in Bayonne AMDC receiving overpayments from the Medicaid Program; and

WHEREAS, on May 20, 2015 MFD issued a Notice of Claim and Notice of Filing of Certificate of Debt against BAYONNE AMDC seeking recovery for overpayments from the Medicaid Program; and

WHEREAS, on March 15, 2016, MFD issued an Amended Notice of Claim, Notice of Withhold and Notice of Filing of Certificate of Debt to BAYONNE AMDC seeking a recovery for payments on claims, for the time period and Covered Conduct referenced above; and

WHEREAS, on May 20, 2015, MFD filed a Certificate of Debt ([REDACTED]) against BAYONNE AMDC and its principals; and on March 15, 2016, MFD filed an Amended Certificate of Debt ([REDACTED]) against BAYONNE AMDC and its principals; and

WHEREAS, BAYONNE AMDC has asserted and provided attestations to the effect that all services for which BAYONNE AMDC submitted claims to be paid by Medicaid program funds were performed and properly supported by documentation; and

WHEREAS, the parties desire to amicably resolve all disputes between them giving rise to the Covered Conduct and have reached a mutually acceptable resolution of the controversies that exist between them;

NOW THEREFORE, in consideration of the mutual promises contained herein, as well as for other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties agree to settle their dispute on the following terms:

(1) BAYONNE AMDC agrees to pay the sum of Three Hundred Twenty Five Thousand Dollars (\$325,000.00), in the following manner: An initial payment of Sixty Five Thousand One Hundred Eighty Six Dollars and Fifty Four Cents (\$65,186.54) shall be remitted no later than the close of business on the last day of October, 2016, which shall be paid in three separate checks, as follows: \$60,000.00 shall be paid to MFD; \$314.00 shall be paid to Amerigroup; and \$4,872.54 shall be paid to UnitedHealthCare. Within seven business days of receipt of the initial payment, MFD shall file a Warrant to Discharge with the Clerk of the Superior Court of New Jersey indicating that the Certificate of Debt and Amended Certificate of Debt which were filed against BAYONNE AMDC, DJ # [REDACTED], are marked as satisfied and removed from the Court's docketed list of judgments. Within 90 days of the filing of the Warrant to Discharge, Bayonne AMDC will pay the balance of the settlement in a lump sum payment of \$259,813.46 to MFD.

(2) Payment to MFD shall be by certified check, bank check, or attorney trust check made payable to "Treasurer, State of New Jersey," and shall be mailed or delivered as follows:

Attention: Processing Bureau
Treasurer, State of New Jersey
Division of Revenue
200 Woolverton Street, Building 20
Lockbox 656
Trenton, New Jersey 08646

BAYONNE AMDC will include "BAYONNE AMDC – OSC-MFD" in the memo line so that it is properly credited.

Payment to Amerigroup shall be by regular check, certified check, bank check, or attorney trust check made payable to "Amerigroup," and shall be mailed or delivered as follows:

Amerigroup
P.O. Box 75548
Baltimore, MD 21275-5548

BAYONNE AMDC will include "BAYONNE AMDC – OSC-Medicaid Fraud Division, State of New Jersey" in the memo line so that it is properly credited.

Payment to UnitedHealthCare shall be by regular check, certified check, bank check, or attorney trust check made payable to "UnitedHealthCare," and shall be mailed or delivered as follows:

UnitedHealthCare
Kelly Tobin
Attn: ME / 1653
9800 Health Care Lane MN006-W800
Minnetonka, MN 55343

BAYONNE AMDC will include "BAYONNE AMDC – OSC-Medicaid Fraud Division, State of New Jersey" in the memo line so that it is properly credited.

(3) If the payment arrangement as provided for in this Settlement Agreement is more than ten (10) days late, Bayonne AMDC will be in default of this Settlement Agreement and the outstanding and unpaid balance plus interest will immediately become due and collected through any means available to MFD as provided by law.

(4) The parties agree that this Settlement Agreement is intended to be a final resolution of all issues arising out of the Covered Conduct, referenced above, and is intended by each party to release the other party and its representatives from liability arising out of the Covered Conduct, unless MFD is mandated to act by federal or State law; or mandated by order or judgment of a court or administrative agency (other than MFD).

(5) Nothing in this Settlement Agreement waives the rights of any other State or federal agency, including, among others, the New Jersey Division of Criminal Justice, from continuing with a pending or beginning a future civil or criminal investigation or other action for alleged conduct concerning BAYONNE AMDC or from taking any action for such conduct. Nothing in this Settlement Agreement waives the rights of MFD to conduct an audit or investigation of prior or future years for the improper submission of any claims or conduct not specifically covered by this agreement, and to take any action civilly or criminally for such conduct. Nothing in this Settlement Agreement waives any defenses that BAYONNE AMDC, its officers, directors, successors or assigns may raise with respect to claims of any nature that may be raised by MFD or any other state or federal agency.

(6) Subject to the express terms of this Settlement Agreement as provided for in paragraphs 1-5 above, by the signatures set forth below, the authorization of which is hereby affirmed, BAYONNE AMDC and MFD agree to the following Release: in consideration of the provision hereof including this release, each party agrees to release the other party and its representatives from liability, obligations and damages arising out of the Covered Conduct, referenced above.

(7) Nothing herein shall constitute an admission, concession or finding of wrongdoing or liability by any party.

(8) This Settlement Agreement shall be construed, enforced and governed by the laws of the State of New Jersey.

(9) This Settlement Agreement may be executed in Counterparts.

(10) This Settlement Agreement is effective upon the last date it is executed by the parties hereto.

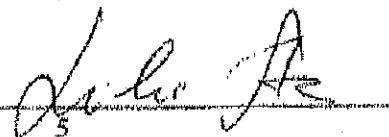
(11) This Settlement Agreement sets forth the entire agreement between and among the parties hereto with respect to the claims described herein and supersedes any other written or oral understandings. This Settlement Agreement does not reflect any other terms or conditions or agreements between or among the parties with respect to any other matter.

IN WITNESS WHEREOF, and intending to be legally bound, the parties hereto on the following page have executed the foregoing Settlement Agreement:

FORM AND CONTENT ACCEPTED AND AGREED TO BY:

DATE:

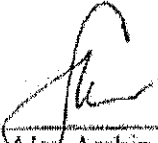
By:


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Lila Arshin
Owner
Bayonne Adult Medical Daycare

DATE:

By:


Alex Arshin
Owner
Bayonne Adult Medical Daycare

DATE:

10/14/16

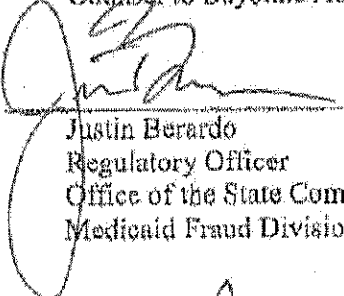
By:


Robert J. Fogg, Esq. William P. Isele, Esq.
Archer & Grenier, P.C.
Counsel to Bayonne Adult Medical Daycare

DATE:

10/18/16

By:


Justin Berardo
Regulatory Officer
Office of the State Comptroller
Medicaid Fraud Division

DATE:

10/18/16

By:


Josh Lichtblau
Director
Office of the State Comptroller
Medicaid Fraud Division